- Whether transactions of the company, which are represented merely by book entries, are prejudicial to the interests of the company.
- Whether loans and advances made by the company have been shown as deposits.
- Whether personal expenses have been charged to revenue account.
- Whether it is stated in the books and documents of the company that any shares have been allotted for cash, whether cash has actually been received in respect of such allotment, and if no cash has actually been so received, whether the position as stated in the account books and the balance sheet is correct, regular and not misleading.

3. **Duty to comply with Auditing Standards [Sec.143 (9)]:**
   - Every auditor shall comply with the auditing standards.
   - The Central Government shall notify standards in consultation with National Financial Reporting Authority, (NFRA).
   - The government shall also notify that auditor's report shall include a statement on such matters as notified.

4. **Duty to report on Frauds [Sec. 143 (12)]:**
   When an auditor suspects an offence involving fraud is being committed by officers or employees of the company, he shall immediately report the matter to the Central Government in such manner as may be prescribed.

5. **Duty to state the reasons for qualified or negative report [Sec.143 (4)]:**
   In case of negative or qualified report, the reasons must be stated in the report.

6. **Duty to assist investigation:**
   It is the important duty of the auditor to assist the investigator to investigate the affairs of the company. Further, it is the duty of the auditor,
   - To provide and preserve the necessary documents which are in his custody to the investigator, and
   - To assist the investigator by providing all assistance in connection with the investigation.

7. **Duty to certify Statutory Report:**
   The auditor has to certify statutory report as correct to the extent of –
   - Shares allotted by the company,
   - Cash received in respect of such shares, and
   - An abstract of receipts and payments of the company.

8. **Duty to certify Prospectus:**
   It is the duty of auditor to certify a report showing statement of profits or losses and assets and liabilities of the company and its subsidiaries. The report shall also include rates of dividend paid by the company for each of five financial years preceding the issue of prospectus.

9. **Duty to report under Voluntary winding up:**
   When the company proposes for voluntary winding up, directors of the company have to make a declaration of solvency. The auditor has to certify a report upon the solvency based on the Profit and Loss Account and Balance Sheet.

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